Transacton 3.7

The Following Trial Balance extracted from the books of a Merchant Mr Nageswara Rao on 31.03.2020. Rectify the following trial Balance and then form Profit & Loss Statement and Balance Sheet of the company.

Particulars	Dr Rs	Cr Rs
Furniture and Fittings		6,400
Motor Vehicles	62,500	
Buildings	75,000	
Capital	1,25,000	
Bad Debts	1250	
Provision for doubtful debts		2000
Sundry Debtors and Creditors	38,000	25,000
Stock as on 1st April 2019		34,600
Purchases and Sales	54,750	1,54,500
Bank Overdraft		28,500
Sales and Purchase Returns	2000	1250
Advertising	4500	
Interest on Bank Overdraft	1180	
Commission Received	3750	
Cash		6500
Taxes and Insurance Premium	7820	
General Expenses	12,500	
Salaries		33,000

Adjustments to be taken in to account

a) Stock on hand on 31st March 2020 Rs 32,500
b) Depreciate Buildings @ 5% pa.; Furniture @ 10% p.a; Motor Vehicles @ 20% p.a
c) Rs 850 is due for interest on Bank Overdraft.
d) Salaries Rs 3000 and Taxes Rs 2000 are outstanding
e) Insurance Premium amounting Rs1000 prepaid
f) One third of the commission received in respect of work to be done next year.
g) Write off a further Sum of Rs 1000 as bad debts from debtors and Create provision for doubtful debts @ 5% on debtors.